Economics and Business Administration — Introduction to Accounting VERSION **A**

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1. The Balance Sheet is described as containing 'stock values', while the Income Statement contains 'flow values'. What does this mean?

A. The Balance Sheet records inventory levels; the Income Statement records cash movement

B. The Balance Sheet reports values at a specific point in time (e.g. December 31); the Income Statement reports values over an entire accounting period

C. The Balance Sheet is updated daily; the Income Statement is prepared only once a year

D. The Balance Sheet shows only assets; the Income Statement shows only liabilities

2. At year-end, the 'profit for the period' computed in the Income Statement is reported in the Balance Sheet as:

A. A component of Stockholders' Equity

B. A reduction of Total Assets

C. An increase of Total Liabilities

D. A cash inflow in the Cash Flow Statement

3. In the Cash Flow Statement (indirect method), depreciation is added back to net income when computing operating cash flow because:

A. Depreciation generates a separate cash inflow that must be reported in investing activities

B. Depreciation reduces the book value of assets and must be reversed to restore the balance

C. It is a financing cost charged on fixed assets and belongs to the financing section

D. Depreciation is a non-cash cost: it reduced net income but caused no cash outflow

4. A machine is purchased for €120,000. Useful life: 6 years, residual value: €0, straight-line method. What is the book value at the end of Year 2?

A. €100,000

B. €80,000

C. €40,000

D. €60,000

5. 'Retained earnings' in the Balance Sheet represent:

A. The cash held in the company's bank accounts

B. The total revenues earned in the current accounting year

C. Profits from previous years that have not been distributed as dividends

D. The share capital contributed by stockholders at incorporation

6. A client pays €12,000 on October 1 for a 12-month service contract. At December 31, applying the accrual principle, the company should record:

A. €3,000 as Revenue and €9,000 as Deferred Income (Liability) in the Balance Sheet

B. €12,000 as Revenue in the Income Statement

C. €9,000 as Prepaid Expense (Asset) in the Balance Sheet

D. €12,000 as Trade Receivable (Asset)

7. In the Capital Employed reclassification scheme, which of the following items is classified as a Current Operating Asset?

A. A medium/long-term bank loan

B. Trade receivables from customers

C. Bonds issued by the company

D. Retained earnings from previous years

8. A company sells a piece of equipment with a book value of €30,000 for €45,000 cash. This transaction generates:

A. A revaluation reserve of €15,000 recorded directly in Equity

B. A capital gain of €15,000: a positive income component in the Income Statement

C. A capital loss of €15,000: a negative income component in the Income Statement

D. No Income Statement effect because the asset is already fully owned

9. Company Alfa has RONA = 15% and a cost of financial debt i = 5%. Which of the following statements correctly describes the effect of this spread on ROE?

A. Since RONA > i, increasing financial leverage (D/E) will decrease ROE

B. Since RONA < i, the company should reduce its debt immediately

C. Since RONA > i, each additional euro of debt generates value for shareholders and increases ROE

D. The spread between RONA and i has no effect on ROE unless the company is listed

10. During the year, a company's trade receivables increase by €200,000 (more was invoiced than collected). What is the effect on operating cash flow in the indirect method?

A. The effect is zero: receivables are not a cash item

B. The €200,000 is reclassified to investing activities

C. Cash is absorbed (negative effect): revenue was recognised but cash has not yet been collected

D. Cash is released: the increase in receivables means more cash is coming in